

SpinMaster

Thank you for preparing a memo for SpinMaster as they consider a step to IPO.

Business Analysis

First, Focus on the SpinMaster, leaving finance aside as much as possible.

- 1) What is the Canadian Business Environment in which SpinMaster Operates? What is the global Business Environment in which SpinMaster Operates? Discuss the intersection/implication of this.
- 2) Describe the specific business in which SpinMaster operates. Think about the decisions that SpinMaster must make.
- 3) What are the KPIs that they must show in each business?
- 4) How has SpinMaster managed growth to date?

When you prepare your paper, be sure and introduce SpinMaster, and the question you are addressing.

Financial Analysis

- 1) Create a CAGR Table by Market and Geography (Market meaning toy/education/entertainment)
- 2) Complete a DCF Analysis. What interest rate do you use? Why?
- 3) Now complete an EBITDA Multiple valuation – what multiple do you use? Why? Do you recommend using a private or public company for your multiple? Why?

Your Recommendation

While SpinMaster cannot give proforma financials, what is the Vision that they need to provide investors, and what are credible milestones.

Does an IPO make sense now? Why or Why Not?

With what valuation do you recommend moving forward?

How do you think this will fit in the Canadian framework (based on Case information)

Your Memo should be 3-5 pages, plus tables and exhibits. Please submit your Memo and corresponding Excel Sheet to canvas.